

Introduction to Business

TOPIC 3. Financial Management (I)



Professor: Carmen Paz-Aparicio

Office: 1.3.A09

Email: Carmen.Paz@uc3m.es



- Introduction: **Economic** and **financial** structure
- Financial Statements
 - Income Statement
 - Balance Sheet
- The financial structure of the company



Introduction: Economic and financial structure

The **finance area** of a company refers to the **collection and management** of the funds (capital) used by the company



The Finance Manager faces two important decisions, while managing a company:

What to invest in and when?



Investing decisions

How to obtain the money to invest?



Financing decisions





Introduction: Economic and financial structure

ECONOMIC STRUCTURE

- Defined by the investments carried out by the company
- It represents the use of the financial resources in terms of goods (assets) and rights
- **ASSETS (what is owned)**

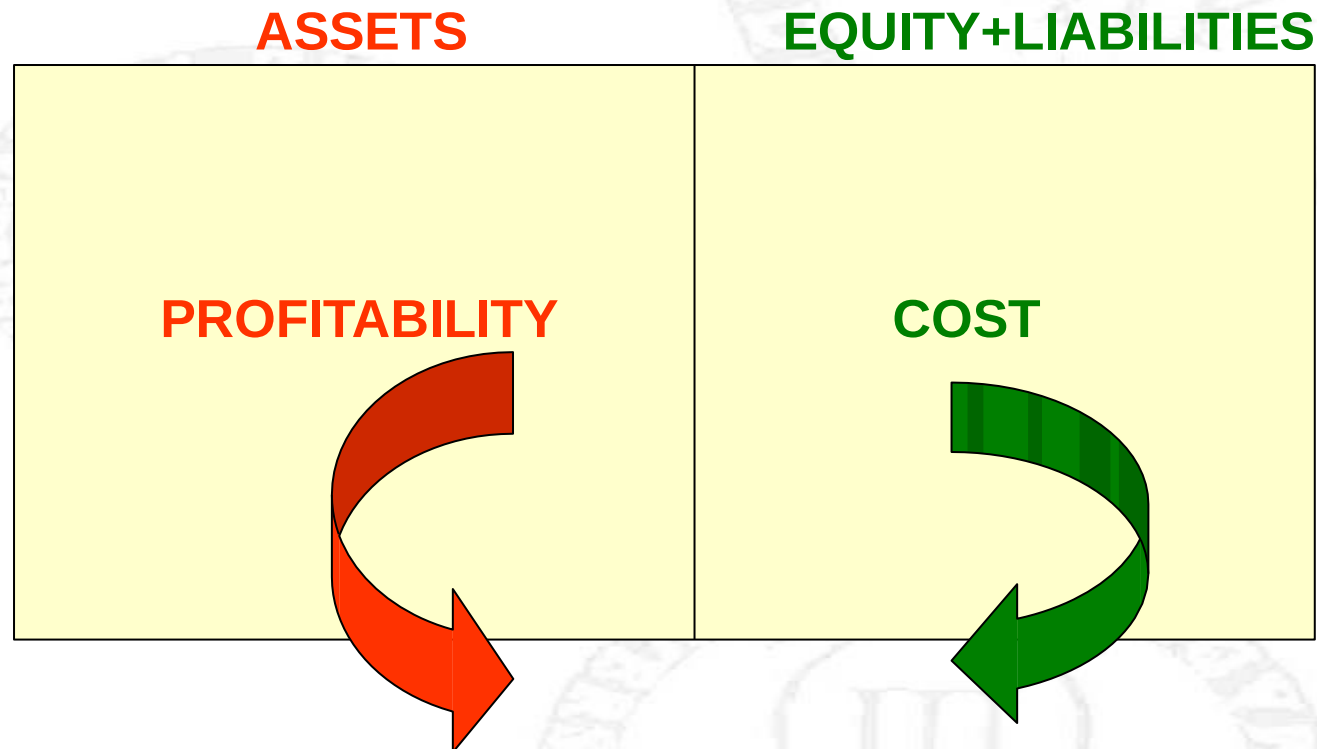
FINANCIAL STRUCTURE

- Defined by the sources of financing of the company
- It includes all the financial resources used to carry out the investments (debt and liabilities)
- **LIABILITIES (what is owed)**





Introduction: Economic and financial structure



OBJECTIVE: MAXIMIZE VALUE

PROFITABILITY > COST





Introduction: Economic and financial structure

Therefore, the decisions of a company focus on:

Financing decisions

- They refer to the choice of equity or debt
- The financial resources that a company may use can be internal equity (self-financing: retained earnings), external equity or debt
- Financial decisions involve:
 - Decisions about the Capital Structure
 - Decisions about the Dividends

Investing decisions

- They consist on the allocation of capital in those investment projects from which we expect future profits
- Companies will invest in those projects that will create value for them (Profits > Costs)





Income Statement

- The first statement prepared is the Income Statement.
- The Income Statement reports the business performance for a specific period.
- A simple format for an income statement is:

$$\text{Revenues} - \text{Expenses} = \text{Net Income}$$





Income Statement

- **Revenues** are earned for the sale of goods or services. Note that revenues occur when the sale is made. The payment may or may not have been received.

Examples of revenues include sales, service revenue and interest revenue.

- **Expenses** are incurred when a business receives goods and services. Like revenues, payment may or may not have been made.

Examples of expenses include salaries expense, utility expense and interest expense.





Income Statement: Extended Format

P&L

Sales revenue

- Cost of goods sold Gross profit
- Operating expenses

Income from operations

- +/- Non-operating items

Income before taxes

- Income taxes

Net income





Income Statement

- **Cost of goods sold** represents the expense a business incurred to buy or make a product for resale

Example: A book store buys a book for \$25 and then sells it for \$32. The cost of goods sold is \$25.

- **Operating expenses** are the usual expenses incurred in operating a business.

Accounts such as salaries expense, utility expenses, and depreciation expenses are all shown in this section





Income Statement

- **Non-operating items** are revenue, expenses, gains and losses that do not relate to the company's primary operations.

Accounts include interest expense and gains and losses of the sale of equipment and investments.

- **Income taxes** are computed by multiplying Income before taxes by the income tax rate.

Example: Income before taxes is \$50,000.

The income tax rate is 30%.

Income taxes = \$50,000 * 30% = \$15,000.





Balance Sheet

- The purpose of the balance sheet is to report the financial position of an accounting entity at a particular point in time.

The basic format for the balance sheet is:

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$





Balance Sheet

- **Assets** are economic resources owned by a company.

Examples include cash, accounts receivable, supplies, buildings and equipment.

- **Liabilities** are the company's debt or obligations.

Examples are accounts payable, unearned revenues and bonds payable.

- **Equity** is the residual balance. **Assets – liabilities = equity**
- Equity is commonly called stockholders' equity if the business is a corporation as it represents the financing provided by the stockholders along with the earnings from the business not paid out as dividends (retained earnings).





Balance Sheet

- There are two different types of assets in a balance sheet: current assets and non-current assets.

Current assets
+ Non-current assets
Total assets

- Current assets** are assets that will be used or turned into cash within one year.

Examples include cash, accounts receivable, inventory, short-term investments, supplies and prepaids.





Balance Sheet

- **Non-current assets** are the remainder of the assets.

**These include accounts such as:
long-term investments, land, building, equipment
and patents.**





Balance Sheet

- There are two different types of liabilities in a balance sheet: current liabilities and long-term liabilities

$$\begin{array}{r} \text{Current liabilities} \\ + \text{ Long-term liabilities } \\ \hline \text{Total liabilities} \end{array}$$

- Current liabilities** are obligations that will be paid in cash (or other services) or satisfied within the coming year.
- Long-term liabilities** are obligations that will not be paid or satisfied within the year.





- **Stockholders' Equity** is divided into two categories: contributed capital and retained earnings.

Contributed capital + <u>Retained earnings</u> Total stockholders' equity



Balance Sheet

Current assets
+ Non-current assets
Total assets

Current liabilities
+ Long-term liabilities
+ Stockholders' equity
**Total liabilities and
stockholders' equity**





Balance Sheet - Income Statement

Example: Assets, Liabilities, Equity, Revenues, Expenses

Cash	5,000	Sales	100,000
Utility Expense	8,000	Buildings	65,000
Common Stock	45,000	Accounts Payable	12,000
Supplies	4,000	Cost of Goods Sold	58,000
Interest Expense	5,000	Additional Paid in Capital	20,000
Bonds Payable	40,000	Supplies Expense	3,000
Salaries Expense	16,000	Accounts Receivable	10,000
Inventories	45,000	Retained Earnings	5,000 (beg. bal.)
Income Tax Rate	30%		





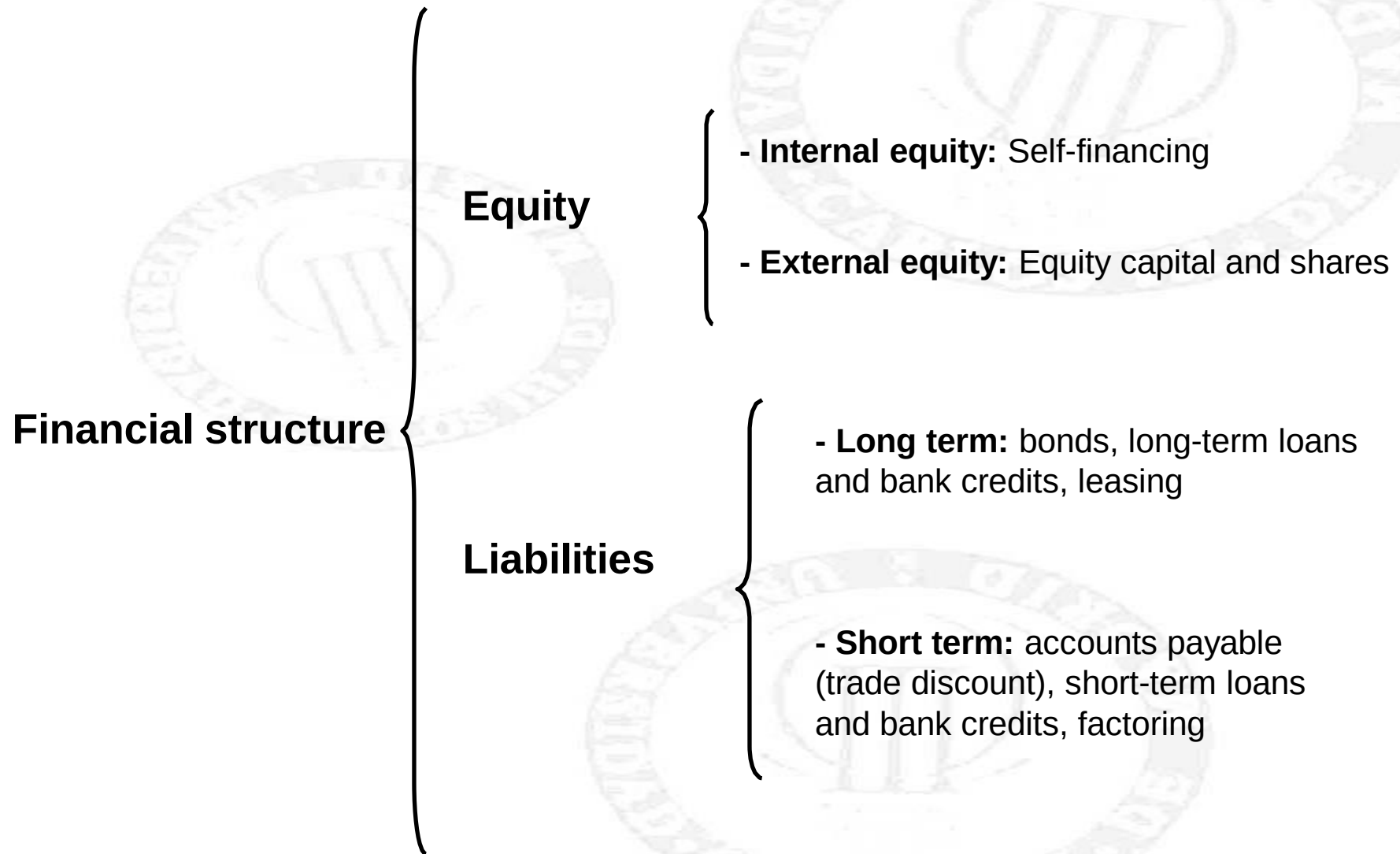
Financing decisions

- *Analysis of the different financial alternatives*
- **Business financing:**
 - Consists on the collection of financial resources needed to develop the company's activity
- The combination of all the possible financial sources are known as
 - CAPITAL STRUCTURE, or
 - FINANCIAL STRUCTURE



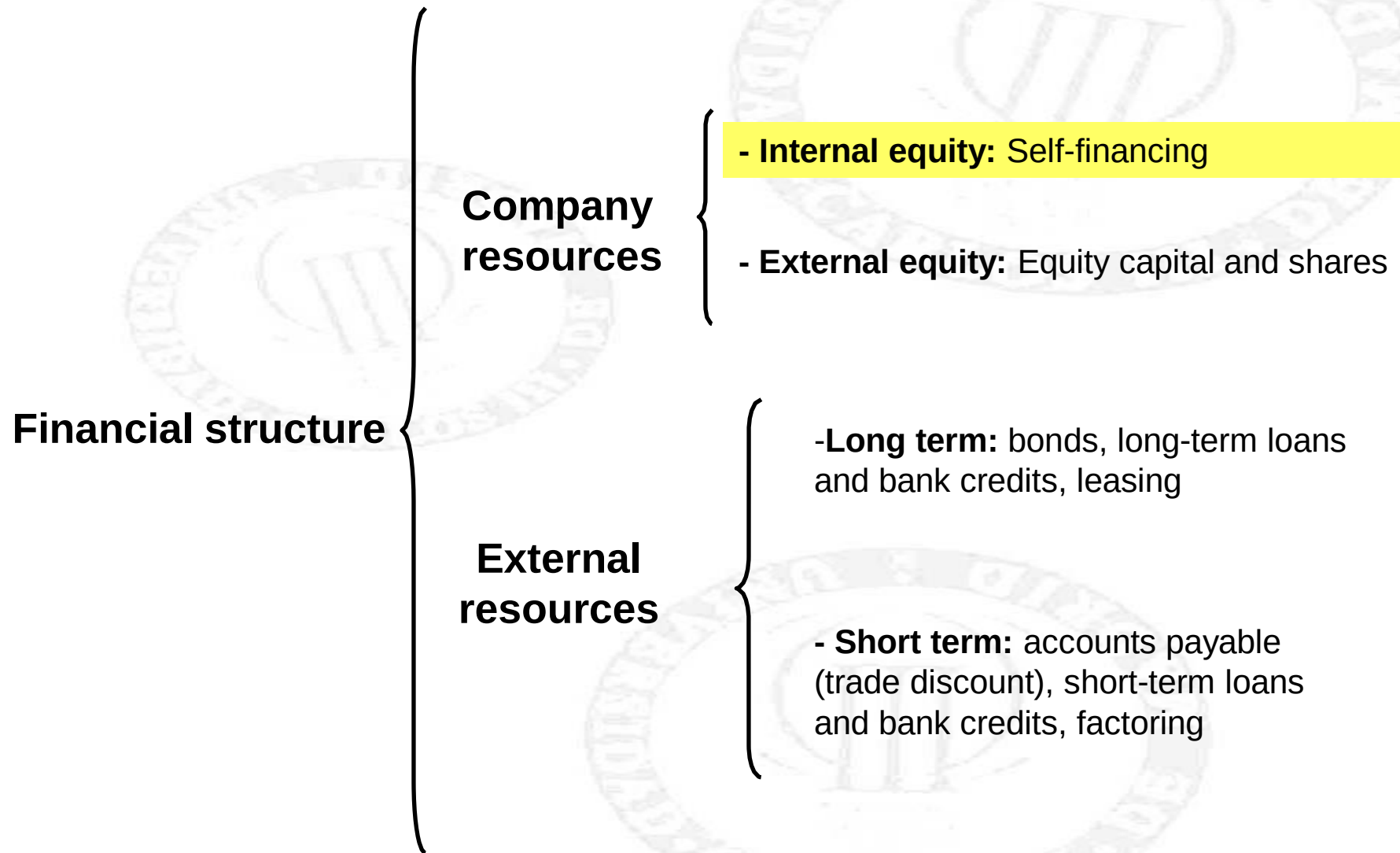


Financial structure of the company





Financial structure of the company





Self-financing

The retained earnings (resources generated within the company in its normal activity) constitute the self-financing of the company. These are the resources generated by the company

PROFITS can be:

Retained in the company= SELF-FINANCING

Spread= DIVIDENDS

Pay-out: Dividends/Profits

Self-financing (%): Retained earnings/Profits

Example:

Profits = 100.000 €

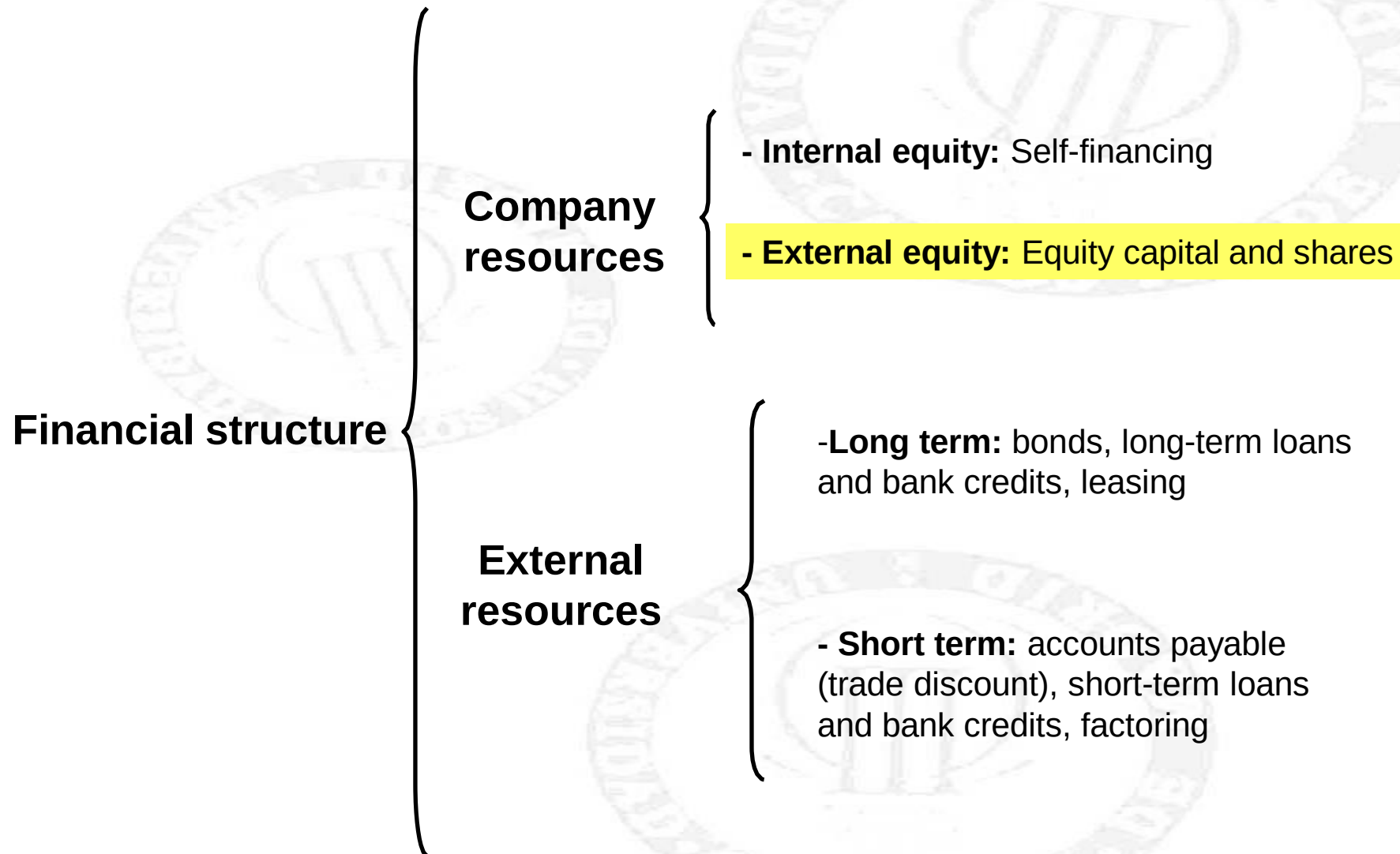
Dividends = 75.000 €

Retained earnings=25.000€





Financial structure of the company





External equity

When a business is created, owners put some funding into the business to finance assets.

Equity capital are the funds raised from owners at the start of a business (initial capital) and further rights-issue (issuing new shares) used to finance the investments of the company.

- **Not** to be paid back to the investor at any expiring date
- A share of capital can **only** be converted into cash by sale or transmission





External equity

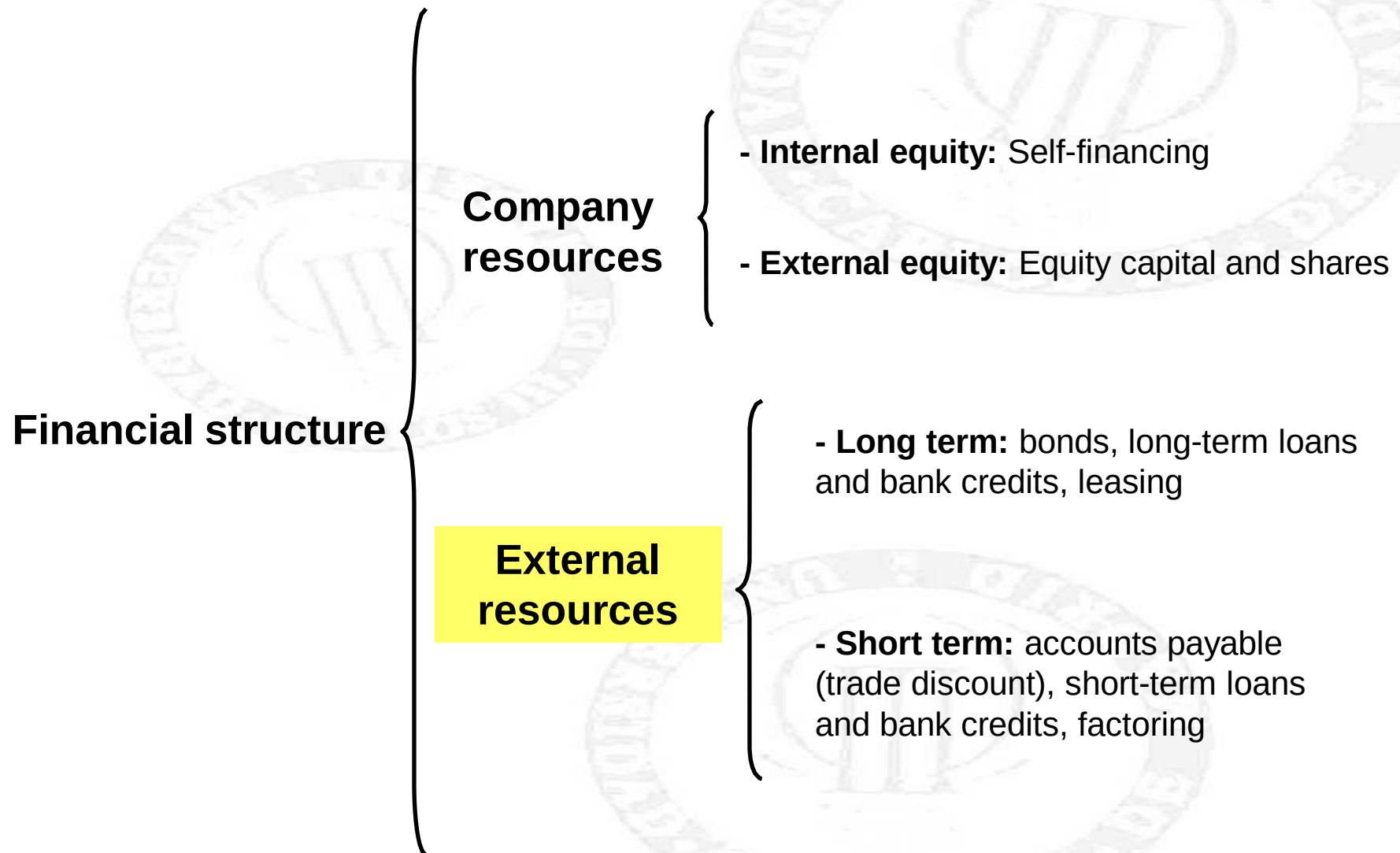
Equity securities: Shares

- A share of stock is one of a finite number of equal portions in the capital of a company, entitling the owner to a proportion of distributed, non-reinvested profits known as dividends, and to a portion of the value of the company in case of liquidation
- Equity securities
- Different share's values: **nominal, accounting (book), intrinsic and market value**
- Rights-issue (Capital increase)
- Payment of dividends is not compulsory



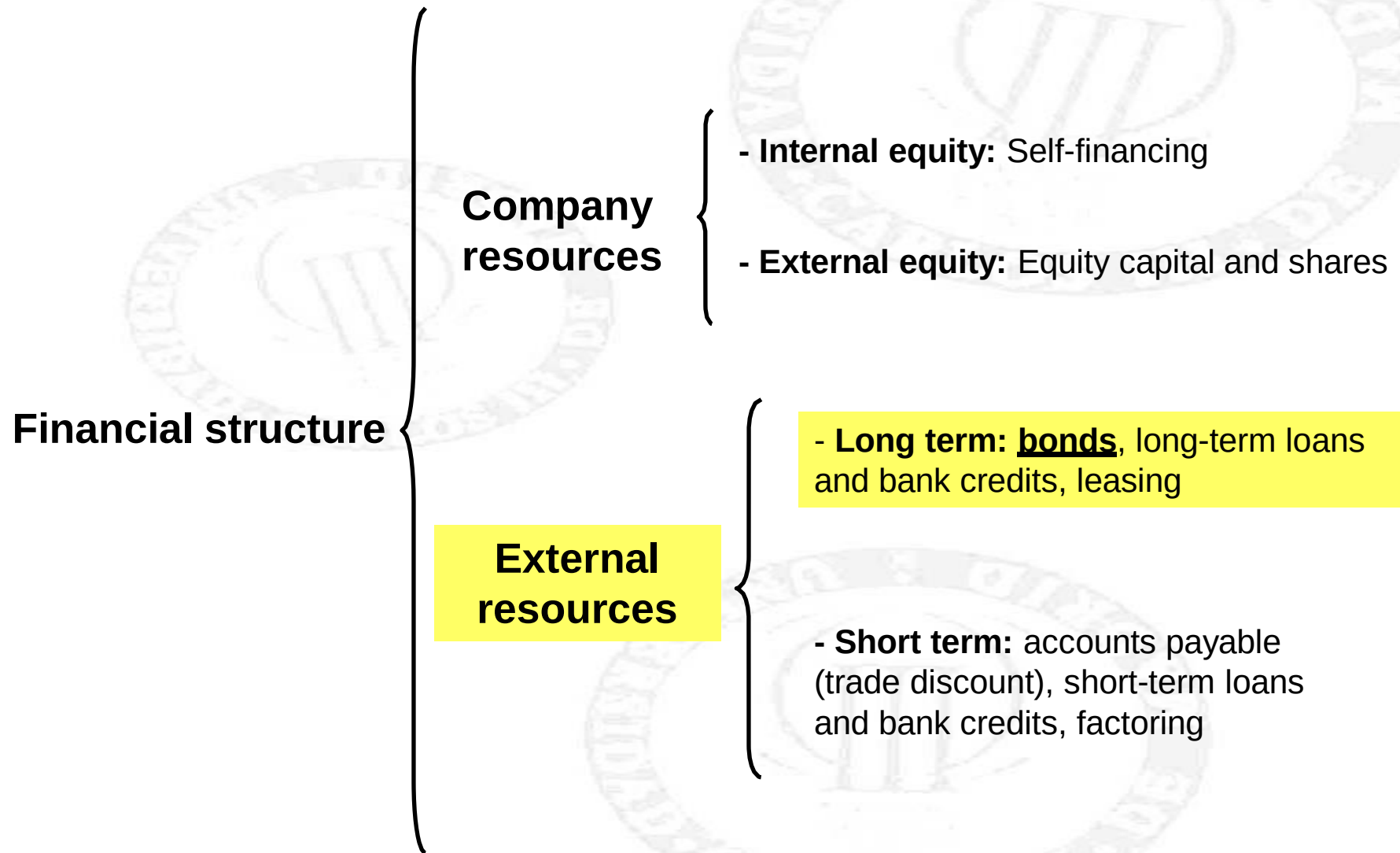


Financial structure of the company





Financial structure of the company





Long-term external resources

Debt securities: Notes and bonds issuance

A **bond** is a debt security, in which the authorized issuer owes the holders a debt and is obliged to repay the principal and interest (the coupon) at a later date, called maturity.

It is a loan in the form of a security:

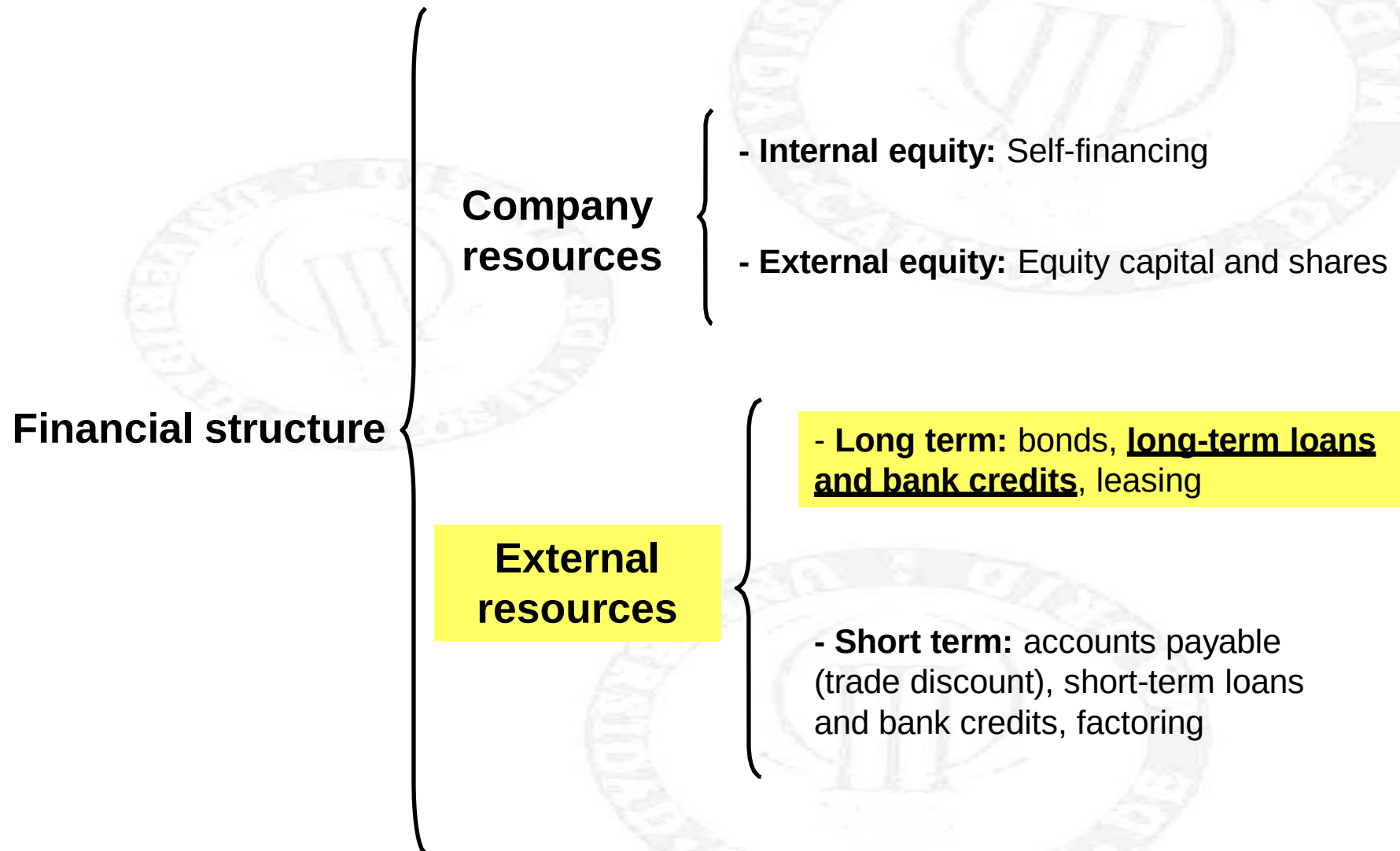
issuer = borrower, bond holder = lender, coupon = interest

Bonds enable the issuer to finance long-term investments with external funds.





Financial structure of the company





Long-term external resources

Long-term loans and bank credits

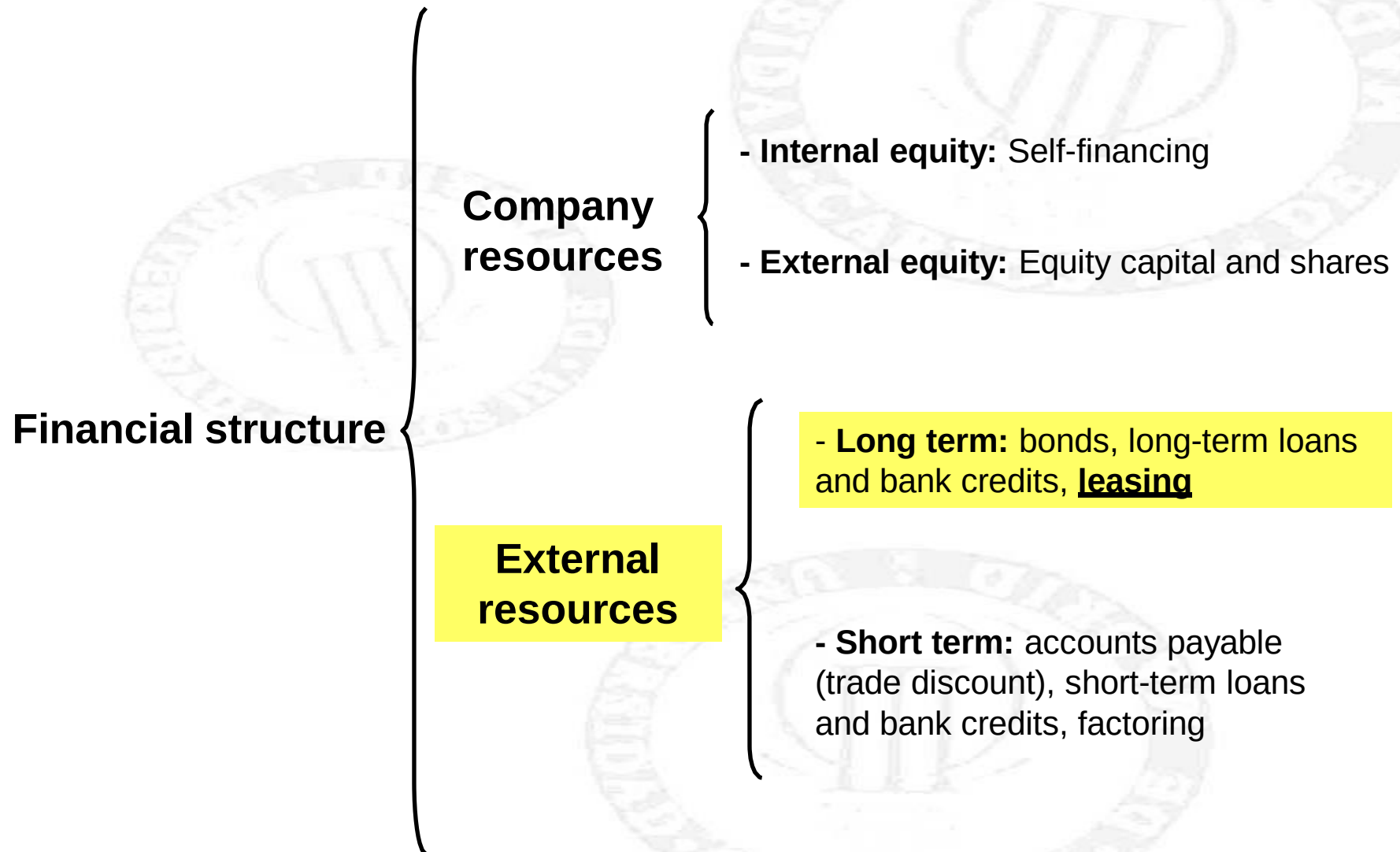
Long term loans: The company receives an amount of money, which needs to be paid back at a certain time. This service is provided at a cost: the debt interest.

Bank credits: the financial institution makes available a maximum amount of money to the customer. The customer will then borrow any amount of money under the limit, paying interests only for the amount borrowed (interest rates are higher)





Financial structure of the company





Long-term external resources

Leasing

Leasing is a process by which a firm can obtain the use of a certain fixed assets for which it must pay a series of contractual, periodic payments. The lessee (receiver of the services or the assets under the lease contract) has the right to buy the asset at the end of the agreed period

TYPES:

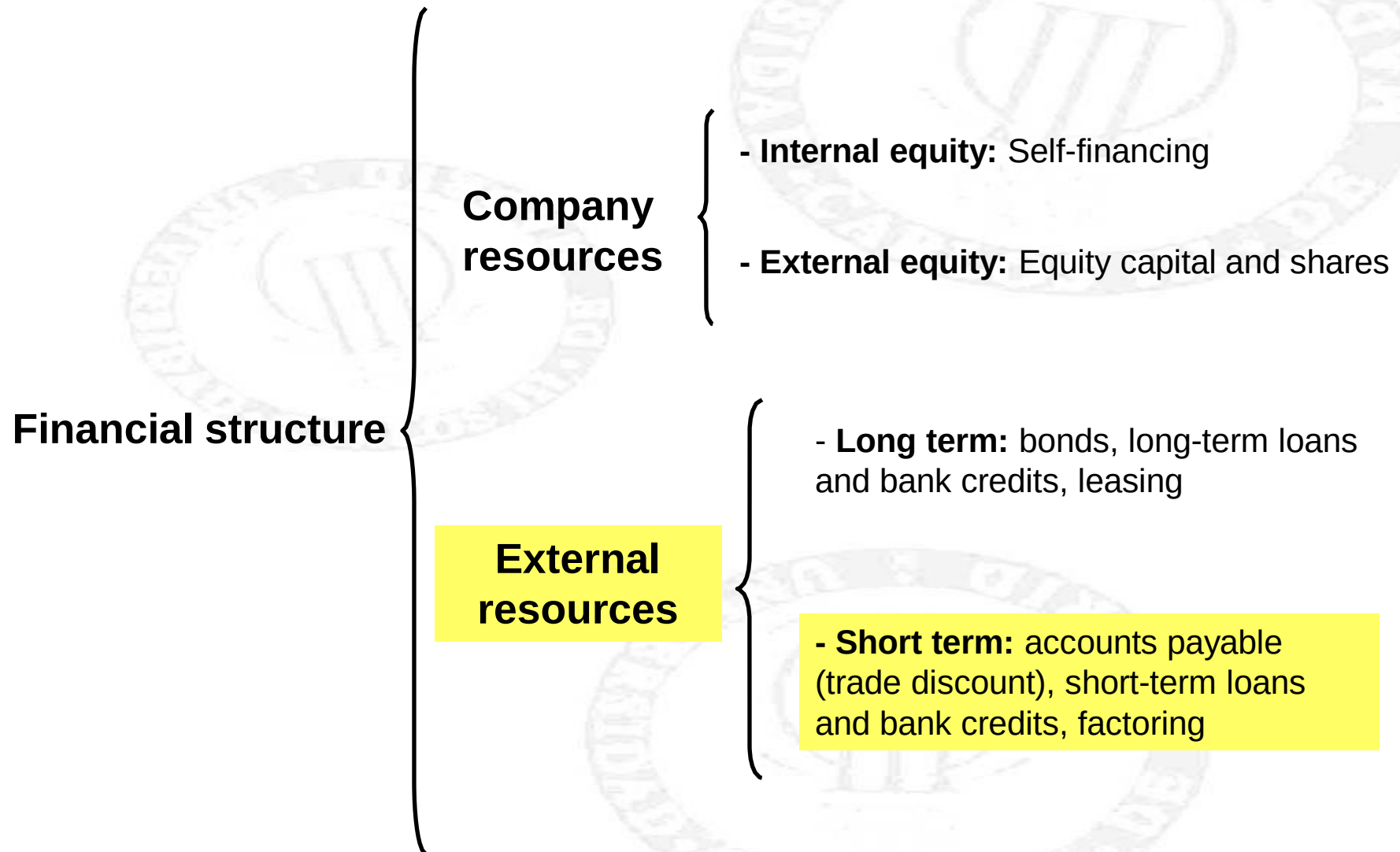
FINANCE LEASING

OPERATING LEASING





Financial structure of the company





Short-term external resources

Accounts payable:

Financing from suppliers (Trade credit) arises when payment of goods is done some time after their reception. Suppliers offer the company the possibility to defer the payment

Bank financing:

- Loans and credits (same characteristics as LT)
- Trade discounts

In the trade discount, the financial institution makes a note (bill of exchange, promissory note,...) available to the customer, before its expiring date, having previously deducted some expenses (interest rate, commission,...).

Factoring:

The company sells to a factoring company a credit from a customer, before it expires. This factoring company will be in charge of its reimbursement, assuming the risk of insolvency





Financial structure of the company

Financial structure: combination of the different financial resources

% Equity: $E/(E+L)$

% Liabilities: $L/(E+L)$

Debt-to-Equity ratio: L/E

To evaluate a company's financial leverage. It measures the degree to which a company is financing its operations through debt versus wholly-owned funds. It reflects the ability of shareholder equity to cover all outstanding debts in the event of a business downturn. **Higher leverage ratios tend to indicate a company or stock with higher risk to shareholders.**

Example:

Total Liabilities + Equity = 1,000 M €

Equity = 700 M €

Liabilities = 300 M €





Financial structure of the company

- All the financial resources have a cost:
 - Implicit cost (opportunity cost): Equity
 - Explicit cost : Liabilities
- **Capital cost:** Weighted average cost associated to all the financial resources obtained by the company (K)

$$K_{WACC} = K_{EQ} * (E / (E + L)) + K_L * (L / (E + L))$$

